OurMocks

2027 CYCLE

MOCK · PRACTICE · CRACK

CUET UG

Economics

Introduction and National Income Accounting

Official Syllabus · Course II: Introductory Macroeconomics · Class 12 · CUET UG 2027 Cycle Notes

INSIDE
Concept Notes

INSIDE
Solved Examples

INSIDE
Practice MCQs + Solutions

Aligned to the latest official syllabus · Concept-first explanations

www.ourmocks.com

Syllabus Alignment & Exam Blueprint

Sub-Topic	Official NTA CUET UG Syllabus Scope	Cognitive Level & Weightage
Macroeconomics & Core Concepts	Origins of macroeconomics (Keynesian revolution); Micro vs. Macro; Stock vs. Flow variables; Final vs. Intermediate goods; Consumer vs. Capital goods; Gross vs. Net investment; Consumption of fixed capital (Depreciation); Economic territory and normal residents.	Knowledge & Distinction (2–3 Questions)
Circular Flow of Income	Two-sector economy circular flow model; Real flows (factor services, goods) vs. Money flows (factor payments, consumption outlay); The 3 phases (production, distribution, disposition); Triple identity of national income.	Conceptual Rigour (2 Questions)
National Income Aggregates	The 3 Conversion Pillars (Gross/Net via Depreciation, Domestic/National via NFIA, MP/FC via NIT); Derivation and meaning of all 8 aggregates ($GDP_{MP}, GDP_{FC}, NDP_{MP}, NDP_{FC}, GNP_{MP}, GNP_{FC}, NNP_{MP}, N$ Identification of Domestic Income (NDP_{FC}) and National Income (NNP_{FC}).	Core Mathematical (3–4 Questions)
Methods of Calculating NI	Value Added (Product) Method, Income Method, and Expenditure Method; Component breakdowns, algebraic identities, and step-by-step numerical conversions; Problem of double counting and its solutions.	High-Yield Numerical (3–4 Questions)
Precautions & Treatment of Items	Mandatory inclusions and exclusions: Transfer payments, second-hand goods, financial securities, imputed rent, self-consumption production, black money, windfalls.	Critical High-Yield (2 Questions)
Real vs. Nominal GDP & Welfare	Nominal GDP, Real GDP, and GDP Deflator calculations; Why GDP is an incomplete indicator of economic welfare (externalities, income distribution, non-monetary transactions, composition of output).	Analytical & Applied (2 Questions)

EXAM PATTERN

CUET UG Exam Strategy: National Income Accounting is the mathematical backbone of Course II (Macroeconomics). CUET questions rigorously test the three bridge equations. Remember the golden identity: **Domestic Income is always NDP_{FC}** and **National Income is always NNP_{FC}**. In numericals, watch out for "Gross Fixed Capital Formation" vs "Gross Domestic Capital Formation" (the former requires adding Change in Stock, while the latter already includes it!).

—

1. Foundations of Macroeconomics & Basic Concepts

1.1 Emergence and Scope of Macroeconomics

Macroeconomics is that branch of economics which studies economic activities and phenomena at the level of the economy as a whole (aggregates):

- **Historical Origins:** Traditional classical economics believed in full employment through automatic self-adjusting market mechanisms (Say's Law: "Supply creates its own demand"). The catastrophic **Great Depression of 1929** (with 25% unemployment in the US and massive output collapse) shattered classical dogma.
- **The Keynesian Revolution:** In 1936, British economist **John Maynard Keynes** published his seminal treatise, **"The General Theory of Employment, Interest and Money"**, giving birth to modern macroeconomics. Keynes proved that an economy can remain stuck in equilibrium with persistent involuntary unemployment, necessitating state intervention.

Dimension	Microeconomics	Macroeconomics
Unit of Study	Individual economic agents (single consumer, firm, industry, market for a specific good).	The entire economy in aggregate (National Income, General Price Level, Aggregate Demand, Total Employment).
Central Problem	Optimal allocation of scarce resources and determination of relative commodity/factor prices.	Determination of the level of national income, output, and overall employment.
Core Analytical Tool	Demand and supply forces in individual product and factor markets.	Aggregate Demand (AD) and Aggregate Supply (AS).
Basic Assumptions	Assumes macroeconomic variables (full employment, national output) are given and constant.	Assumes microeconomic factor allocation across individual sectors is given and constant.
Paradox of Thrift	An individual saving more is prudent and increases personal wealth.	If the **entire nation** attempts to save more, aggregate spending drops, national income falls, and total realized savings may stagnate or fall!

1.2 Stock vs. Flow Variables

In macroeconomic analysis, variables are strictly bifurcated based on the **element of time**:

Feature	Stock Variable	Flow Variable
Time Dimension	Measured at a **specific point in time** (e.g., on 31st March 2026). It has **no time dimension** (it is static).	Measured over a **specified period of time** (e.g., per hour, per month, per year). It has a **time dimension**.
Dynamic Concept	Represents an accumulated quantity or store at a single calendar moment.	Represents a rate of change or movement over an interval of time.
Core Examples	National Wealth, Capital Stock of a nation, Money Supply (M_1, M_3), Balance in a bank savings account, Foreign exchange reserves, Inventory at end of year.	National Income, Gross Domestic Product, Net Investment (Capital Formation), Depreciation, Consumption Expenditure, Government Deficit, Imports/Exports.

Feature	Stock Variable	Flow Variable
Water Analogy	Water stored in a swimming pool or dam at 5:00 PM.	Water flowing into the pool from a tap at 50 liters per minute.

1.3 Classification of Goods: Final vs. Intermediate Goods

The distinction between goods in national income accounting depends strictly on their **end-use**, NEVER on the physical nature of the good itself!

1. **Final Goods:**
   - Goods that have crossed the production boundary and are ready for use by their **final end-users**.
   - Sub-divided into:
     - **Consumer Goods:** Purchased by households to directly satisfy human wants (e.g., milk consumed by a family, bread, clothing, personal car).
     - **Capital Goods:** Purchased by producers for use as fixed assets in production over many years, undergoing depreciation (e.g., tractors, industrial looms, commercial delivery trucks).
   - **National Income Treatment:** Final goods are **included** in National Income.
2. **Intermediate Goods:**
   - Goods that remain **within the production boundary** and are:
     - Used up as **raw materials** in the production of other goods during the current accounting year (e.g., flour purchased by a bakery, wood purchased by a carpenter).
     - Resold for profit within the same accounting year (e.g., milk purchased by a dairy shop for retail resale).
   - **National Income Treatment:** Intermediate goods are strictly **EXCLUDED** from National Income to avoid the fatal problem of **Double Counting**!

OurMocks

THE GOLDEN END-USE RULE FOR CLASSIFYING GOODS

- **Milk** purchased by a household is a **Final Consumer Good**.
- **Milk** purchased by a sweet maker (restaurant) to produce sweets is an **Intermediate Good**.
- **A Car** purchased by a household is a **Final Consumer Durable Good**.
- **A Car** purchased by a taxi operator is a **Final Capital Good** (an investment).
- **A Car** purchased by an automobile dealer for resale in their showroom is an **Intermediate Good**!

1.4 Gross Investment, Depreciation, and Net Investment

- **Investment (Capital Formation):** The net addition made to the physical capital stock of an economy during an accounting year:

$$\text{Gross Investment} = \text{Gross Business Fixed Investment} + \text{Residential Construction} + \text{Public Investment} + \text{Inventory Investm}$$

- **Depreciation (Consumption of Fixed Capital - CFC):**
  - The loss of value of fixed capital assets in use due to **normal wear and tear**, passage of time, and **expected obsolescence** (routine technological progress).
  - **Depreciation Reserve Fund:** Financial provisions set aside annually by firms to replace worn-out capital assets at the end of their productive lifespan.
- **Crucial Distinction: Depreciation vs. Capital Loss:**

- **Depreciation** covers foreseen, routine depreciation and expected obsolescence. It is **included** in the calculation of Net National Product.
- **Capital Loss** refers to unforeseen, sudden destruction of fixed capital caused by **natural calamities** (earthquakes, floods) or **war, riots, and major industrial fires**. Capital loss is NOT part of depreciation and is excluded from national accounts!

- **Net Investment Equation:**

$$\text{Net Investment} = \text{Gross Investment} - \text{Depreciation (CFC)}$$

If Gross Investment equals Depreciation, Net Investment is zero, meaning the productive capacity of the economy is merely maintained without expanding.

1.5 Economic Territory and Normal Residents

1. **Domestic (Economic) Territory:**
   - The geographic territory administered by a national government within which persons, goods, and capital circulate freely.
   - **Included in Domestic Territory of India:**
     - Political frontiers including territorial waters and airspace.
     - Indian Embassies, Consulates, and Military bases located in foreign countries (e.g., Indian Embassy in Washington is part of the domestic territory of India, NOT the USA!).
     - Ships and aircraft operated by Indian residents between two or more foreign countries (e.g., Air India passenger jet flying between London and Tokyo).
     - Fishing vessels, oil and natural gas rigs operated by Indian residents in international waters where India holds exclusive exploitation rights.
   - **Excluded from Domestic Territory of India:**
     - Foreign Embassies, High Commissions, and Consulates located in New Delhi (e.g., US Embassy in Chanakyapuri is US territory!).
     - Offices of international organizations (UN, WHO, IMF, World Bank) located inside India.
2. **Normal Resident of a Country:**
   - An individual or an institution who ordinarily resides in the economic territory of a country for a period of **one year or more**, and whose **center of economic interest** lies in that country (earns, spends, and accumulates wealth there).
   - Normal residents include both citizens and non-citizens (foreign nationals residing > 1 year with economic interest).
   - Foreign tourists, seasonal medical patients, foreign diplomats, and daily border crossers are NOT normal residents.

—

2. The Circular Flow of Income & The Triple Equivalence

2.1 The Two-Sector Circular Flow Model

Consider a simplified closed economy consisting of only two economic sectors: **Households** and **Firms** (no government, no foreign trade, no financial savings):

- **Real Flow:**
  - Households provide factor services (Land, Labour, Capital, Enterprise) to firms.
  - In return, firms supply finished physical Goods and Services to households.

- **Money Flow:**
  - Firms pay Factor Incomes (Rent, Wages, Interest, Profit) to households as remuneration for factor services.
  - Households spend their entire factor income on Consumption Outlay to purchase goods from firms.

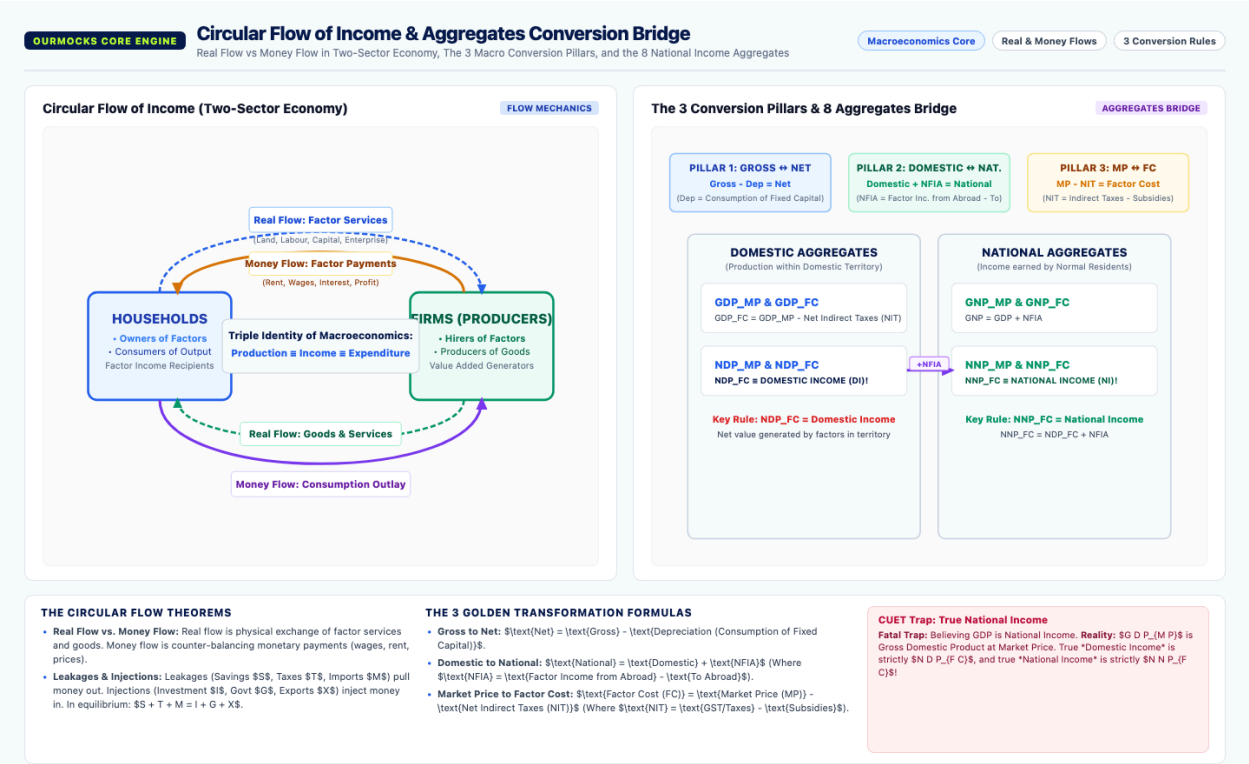


Figure 1: Figure 1: Circular Flow of Income in a Two-Sector Economy (Left) and the 3 Conversion Pillars with 8 National Income Aggregates Bridge (Right)

2.2 The Three Phases of Circular Flow & The Triple Equivalence

The circular flow never ends; it moves through three continuous operational phases:

1. **Production Phase (Generation Phase):** Production units combine factor inputs with intermediate inputs to produce goods and services, generating **Gross Value Added**.
2. **Distribution Phase (Income Phase):** The value added generated during production is distributed among the factor owners as factor payments: Wages, Rent, Interest, and Profits.
3. **Disposition Phase (Expenditure Phase):** Factor income earners spend their income on purchasing final goods and services for consumption and investment.

THE TRIPLE EQUIVALENCE IDENTITY OF MACROECONOMICS

$$\text{Total Output (Value Added)} \equiv \text{Total Factor Incomes Generated} \equiv \text{Total Final Expenditure}$$

This fundamental identity proves that National Income can be measured with complete mathematical equivalence from three different angles: the **Product (Value Added) Method**, the **Income Method**, and the **Expenditure Method**!

—

3. The 3 Conversion Pillars & The 8 National Income Aggregates

Every national income aggregate is constructed from a three-tier binary nomenclature:

- Tier 1: **Gross** (G) vs. **Net** (N)
- Tier 2: **Domestic** (D) vs. **National** (N)
- Tier 3: **Market Price** (MP) vs. **Factor Cost** (FC)

3.1 The 3 Golden Conversion Pillars

Pillar 1: Gross vs. Net (Depreciation / Consumption of Fixed Capital)

- Gross includes the cost of replacing worn-out capital (depreciation), whereas Net excludes it:

$$\text{Net} = \text{Gross} - \text{Depreciation (CFC)}$$

$$\text{Gross} = \text{Net} + \text{Depreciation (CFC)}$$

Pillar 2: Domestic vs. National (Net Factor Income from Abroad - NFIA)

- Domestic refers to production generated **within the domestic territory** of a nation, regardless of whether it is produced by residents or non-residents.
- National refers to income earned by **normal residents** of a nation, regardless of where in the world they operate:

$$\text{National} = \text{Domestic} + \text{NFIA}$$

$$\text{Domestic} = \text{National} - \text{NFIA}$$

- **Components of NFIA:**

$$\text{NFIA} = \text{Factor Income from Abroad (FIFA)} - \text{Factor Income to Abroad (FITA)}$$

NFIA consists of three sub-components:

1. **Net Compensation of Employees:** (Earnings of Indian resident workers temporarily abroad) minus (Earnings of foreign workers temporarily in India).
2. **Net Income from Property and Entrepreneurship:** (Rent, interest, and dividends earned by Indian residents on foreign assets) minus (Paid to foreign investors on assets located in India).
3. **Net Retained Earnings of Resident Companies Abroad:** Undistributed profits retained by Indian multi-nationals abroad minus retained earnings of foreign companies in India.

Pillar 3: Market Price vs. Factor Cost (Net Indirect Taxes - NIT)

- Factor Cost (FC) is the actual remuneration paid to factor owners by producers for their productive contribution.
- Market Price (MP) is the price paid by final consumers in the market, which includes indirect commodity taxes imposed by the government and excludes production subsidies granted by the government:

$$\text{Market Price (MP)} = \text{Factor Cost (FC)} + \text{Indirect Taxes} - \text{Subsidies} = \text{FC} + \text{NIT}$$

$$\text{Factor Cost (FC)} = \text{Market Price (MP)} - \text{Net Indirect Taxes (NIT)}$$

Where:

$$\text{NIT} = \text{Indirect Taxes (GST, Excise, Customs)} - \text{Subsidies (Food, Fertilizer subsidies)}$$

3.2 The Master Matrix of 8 National Income Aggregates

Aggregate	Formal Full Name	Technical National Accounting Definition
GDP_{MP}	Gross Domestic Product at Market Price	Gross market value of all final goods and services produced within the domestic territory of a country during an accounting year.

Aggregate	Formal Full Name	Technical National Accounting Definition
GDP_{FC}	Gross Domestic Product at Factor Cost	GDP_{MP} − NIT. Total gross factor earnings generated within the domestic territory.
NDP_{MP}	Net Domestic Product at Market Price	GDP_{MP} − Depreciation. Net market value of domestic output.
NDP_{FC}	**Net Domestic Product at Factor Cost (DOMESTIC INCOME)**	GDP_{MP} − Dep − NIT. The aggregate factor income generated strictly within the economic territory of the nation!
GNP_{MP}	Gross National Product at Market Price	GDP_{MP} + NFIA. Gross market value of all final goods produced by normal residents anywhere in the world.
GNP_{FC}	Gross National Product at Factor Cost	GNP_{MP} − NIT. Total gross factor income earned by normal residents.
NNP_{MP}	Net National Product at Market Price	GNP_{MP} − Depreciation. Net market value of goods attributable to normal residents.
NNP_{FC}	**Net National Product at Factor Cost (NATIONAL INCOME)**	NDP_{FC} + NFIA. The true macro definition of **National Income**! Sum of all factor incomes earned by normal residents of a country.

—

4. The Three Methods of Measuring National Income

4.1 Method 1: Value Added Method (Product / Output Method)

Measures the net contribution of each producing enterprise in the domestic territory across primary, secondary, and tertiary sectors:

Step-by-Step Computational Architecture

1. **Calculate Value of Output (VO):**

$$\text{Value of Output} = \text{Total Sales} + \Delta \text{ Stock}$$

   - If entire output is sold during the year: Value of Output = Sales.
   - If output is partially unsold:

$$\text{Value of Output} = \text{Sales} + (\text{Closing Stock} - \text{Opening Stock})$$

   - **Sales Decomposition:** If a question provides both "Domestic Sales" and "Exports", total sales is:

$$\text{Total Sales} = \text{Domestic Sales} + \text{Exports}$$

   (Trap alert: If the question directly provides "Sales", Exports are ALREADY included—do not add them again!)

2. **Deduct Intermediate Consumption (IC):**

$$GVA_{MP} = \text{Value of Output} - \text{Intermediate Consumption}$$

   - **Intermediate Purchases Decomposition:**

$$IC = \text{Domestic Purchases of Raw Materials} + \text{Imports of Raw Materials}$$

   (Trap alert: If the question directly provides "Purchase of Raw Materials" or "Intermediate Consumption", Imports are ALREADY included!)

3. **Aggregate Across All Sectors:**

$$\sum GVA_{MP} = GDP_{MP}$$

4. **Convert to National Income (NNP_{FC}):**

$$NNP_{FC} = GDP_{MP} - \text{Depreciation} + \text{NFIA} - \text{NIT}$$

The Problem of Double Counting and Its Remedies

- **The Problem:** Double counting occurs when the value of an intermediate input is counted multiple times as it passes through successive stages of production (e.g., counting the value of wheat, then the value of flour, then the value of bread). This artificially inflates national income figures.
- **Two Recognized Remedies:**
  1. **Final Output Method:** Count ONLY the final value of finished goods sold to final consumers (e.g., count only the final ₹50 bread, completely ignoring the ₹20 wheat and ₹35 flour).
  2. **Value Added Method:** Sum only the **Value Added** (Value of Output − Intermediate Consumption) at each successive processing stage.

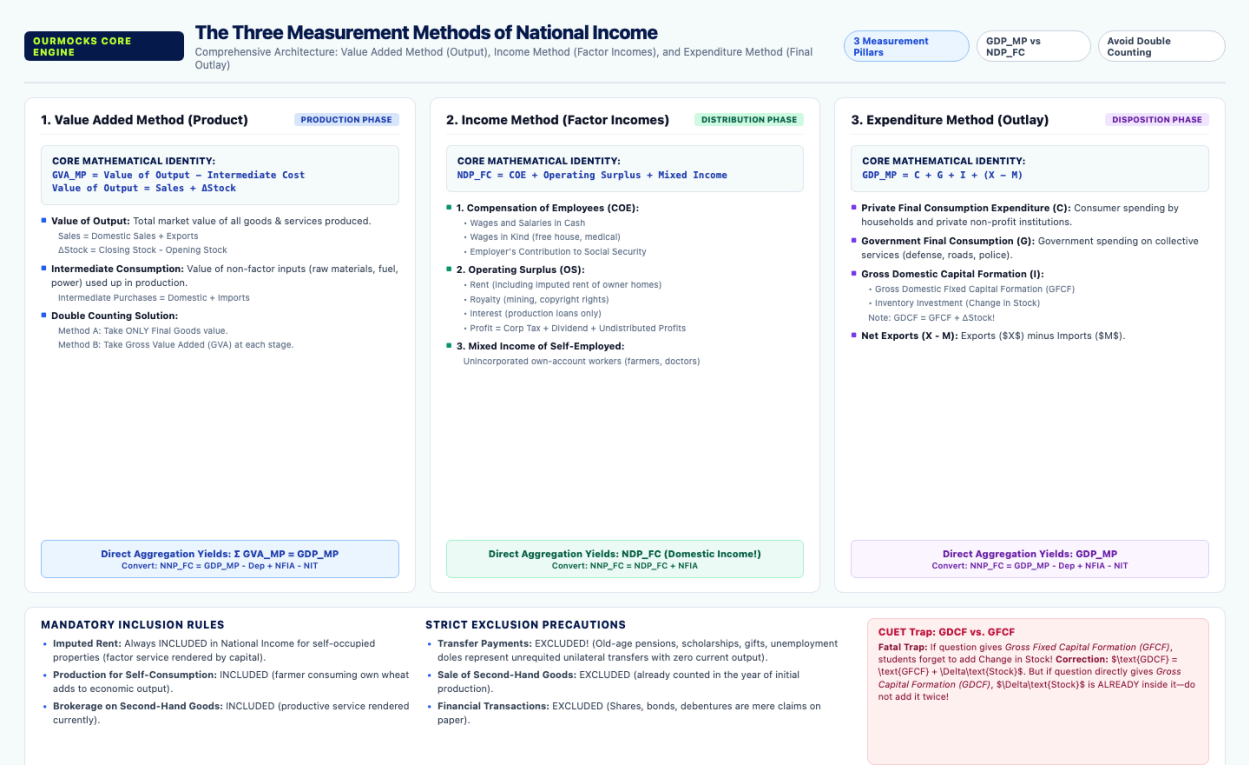


Figure 2: Figure 2: The Three Methods of Estimating National Income: Step-by-Step Formulations, Flow Paths, and Precautionary Checklists

4.2 Method 2: Income Method (Factor Payment Method)

Measures national income from the perspective of factor income distribution among owners of factors of production within the domestic territory:

Step-by-Step Computational Architecture

1. **1. Compensation of Employees (COE):** Total remuneration paid by employers to employees for labor services rendered:
   - Wages and Salaries in Cash (basic pay, dearness allowance, bonuses, overtime).
   - Wages and Salaries in Kind (free housing, free medical facilities, company car, free uniforms).
   - **Employer's Contribution to Social Security Schemes** (provident fund, gratuity, employee insurance).

- **(Fatal Trap: Employee's own contribution to PF is paid out of their cash salary —it is ALREADY included in Wages in Cash! Do NOT add employee's contribution!)**

2. **2. Operating Surplus (OS):** Income earned from the ownership of property and entrepreneurship:

$$OS = \text{Rent} + \text{Royalty} + \text{Interest} + \text{Profit}$$

- **Rent:** Contractual payments for land and buildings, plus **Imputed Rent of owner-occupied houses**.
- **Royalty:** Income received for granting mineral rights or copyrights.
- **Interest:** Net interest received on loans used for **commercial production** (Interest on loans taken for personal consumption or interest on national public debt is excluded!).
- **Profit:** Total entrepreneurial earnings, distributed across three components:

$$\text{Profit} = \text{Corporate Tax} + \text{Dividend (Distributed Profit)} + \text{Undistributed Profit (Retained Earnings)}$$

3. **3. Mixed Income of Self-Employed:** Incomes of unincorporated own-account enterprises (farmers, doctors, lawyers, shopkeepers, chartered accountants) where labor and capital are supplied by the owner, making it impossible to separate wages from profit.
4. **Aggregate Yields Domestic Income (NDP_{FC}):**

$$NDP_{FC} = COE + \text{Operating Surplus} + \text{Mixed Income}$$

5. **Convert to National Income (NNP_{FC}):**

$$NNP_{FC} = NDP_{FC} + \text{NFIA}$$

4.3 Method 3: Expenditure Method (Final Outlay Method)

Measures national income at the point of final disposition—the total expenditure incurred on final goods and services produced within the domestic territory:

Step-by-Step Computational Architecture

1. **Private Final Consumption Expenditure (C or PFCE):** Market value of final consumption goods and services purchased by households and private non-profit institutions serving households.
2. **Government Final Consumption Expenditure (G or GFCE):** Expenditure incurred by the general government on providing administrative and social services (defense, judiciary, public education, healthcare).
3. **Gross Domestic Capital Formation (I or GDCF / Gross Investment):** Total net additions to the domestic capital stock:

$$\text{GDCF} = \text{Gross Domestic Fixed Capital Formation (GFCF)} + \Delta \text{ Stock (Inventory Investment)}$$

(Critical Exam Trap: If question gives "Gross Fixed Capital Formation", you MUST add Change in Stock (Closing − Opening). But if question gives "Gross Domestic Capital Formation", Change in Stock is ALREADY included!)

4. **Net Exports ($X - M$):**

$$\text{Net Exports} = \text{Exports of Goods and Services (X)} - \text{Imports of Goods and Services (M)}$$

5. **Aggregate Yields GDP_{MP}:**

$$GDP_{MP} = C + G + I + (X - M)$$

6. **Convert to National Income (NNP_{FC}):**

$$NNP_{FC} = GDP_{MP} - \text{Depreciation} + \text{NFIA} - \text{NIT}$$

—

5. Inclusions and Exclusions: The Master Precautions Checklist

Economic Transaction	Treatment in NI	Definitive NCERT / NTA Economic Reason
Old-Age Pensions, Scholarships, Unemployment Doles	**EXCLUDED**	These are **Transfer Payments (Unrequited Transfers)**. They represent unilateral income transfers without any corresponding productive flow of goods or services.
Retirement Pensions of Government / Corporate Employees	**INCLUDED**	A retirement pension is **deferred compensation for past labor services rendered**. It is part of Compensation of Employees (Factor Income), NOT a transfer payment!
Imputed Rent of Owner-Occupied Houses	**INCLUDED**	The owner-occupier enjoys housing services identical to a tenant. Capital generates real productive shelter services that must be accounted for.
Services of Housewives / Unpaid Household Chores	**EXCLUDED**	Excluded due to **non-availability of reliable market valuation data**. Rendered out of love and affection without commercial exchange.
Sale of Second-Hand Goods (Old Car, Used Laptop)	**EXCLUDED**	Their value was already accounted for in the GDP of the year in which they were originally produced. Counting them again is double counting.
Brokerage / Commission on Sale of Second-Hand Goods	**INCLUDED**	The broker rendered a **fresh, productive intermediary service** in the current year, generating factor income.
Purchase of Financial Assets (Shares, Bonds, Debentures)	**EXCLUDED**	These are **mere paper claims** representing ownership transfers of existing assets. No physical output is generated.
Brokerage on Financial Securities	**INCLUDED**	Commission paid to stockbrokers represents remuneration for current productive financial facilitation services.
Production of Goods for Self-Consumption	**INCLUDED**	Farmers consuming own wheat or builders living in own apartments add to physical economic output; imputed value is added.
Illegal Incomes (Smuggling, Theft, Gambling)	**EXCLUDED**	No legal production account; excluded on practical grounds and absence of official transaction records.
Windfall Gains (Lottery Prizes, Horse Racing)	**EXCLUDED**	Zero productive activity involved; pure transfers of existing purchasing power.

—

6. Real vs. Nominal GDP, The GDP Deflator & Welfare Limitations

6.1 Nominal GDP vs. Real GDP

1. **Nominal GDP (GDP at Current Prices):** The market value of final output produced in a year, evaluated using the **prices of that current year**:

$$\text{Nominal GDP}_t = \sum(P_t \times Q_t)$$

   Nominal GDP can increase purely because of price inflation (P_t rises), even if the physical volume of output (Q_t) has actually contracted!
2. **Real GDP (GDP at Constant / Base Year Prices):** The market value of final output produced in a year, evaluated using the **fixed prices of a selected base year (P_0)**:

$$\text{Real GDP}_t = \sum(P_0 \times Q_t)$$

   Real GDP eliminates the distortionary impact of inflation. It rises **only and strictly when the physical quantity of goods and services expands**! It is the true indicator of real economic growth.

6.2 The GDP Deflator (Implicit Price Deflator)

The GDP Deflator measures the average price level of all final goods and services produced domestically within an economy relative to the base year:

THE GDP DEFLATOR FORMULATION

$$\text{GDP Deflator} = \frac{\text{Nominal GDP}}{\text{Real GDP}} \times 100$$

$$\text{Real GDP} = \frac{\text{Nominal GDP}}{\text{GDP Deflator}} \times 100$$

6.3 GDP and Economic Welfare: Why GDP is an Incomplete Yardstick

While GDP is universally employed as an indicator of economic growth, it cannot be treated as a reliable index of overall **human well-being and social welfare** due to four major limitations:

1. **Distribution of GDP (Inequality):**
   - If GDP rises, but the entire incremental wealth is concentrated in the hands of the top 1% while the bottom 50% face declining real wages, mass social welfare deteriorates despite rising GDP figures.
2. **Non-Monetary Exchanges (Demonetized Economy):**
   - In developing nations like India, a significant portion of economic activity occurs outside the formal monetized banking system (barter exchanges in rural villages, kitchen gardening, unpaid domestic labor by homemakers).
   - Because these non-monetized activities lack market prices, they are excluded from GDP, causing national accounts to **underestimate true economic output and welfare**.
3. **Externalities (Positive and Negative):**
   - **Externalities** are benefits or costs inflicted by economic agents on third parties for which no payment or compensation is made:
     - **Negative Externalities:** An oil refinery produces fuel (raising GDP) but dumps chemical effluent into rivers and spews smoke into the air, causing respiratory illnesses.

GDP registers the oil output, but **fails to subtract the environmental damage and healthcare costs**! Thus, GDP **overstates** true social welfare!

- **Positive Externalities:** A software firm builds a metro station or public botanical garden outside its campus. Society gains, but this welfare enhancement is omitted from GDP calculations.

4. **Composition of Output:**
   - If GDP growth is driven by the production of military weapons, defense warships, or intoxicating substances (alcohol, tobacco), statistical GDP increases, but the direct daily well-being of citizens does not improve compared to an equal rise in food, schools, or hospitals.
5. **Green GDP:**
   - **Green GDP** adjusts traditional GDP by explicitly deducting the monetary cost of natural resource depletion and environmental degradation:

     Green GDP = GDP − Net Depletion of Natural Capital − Environmental Pollution Damage

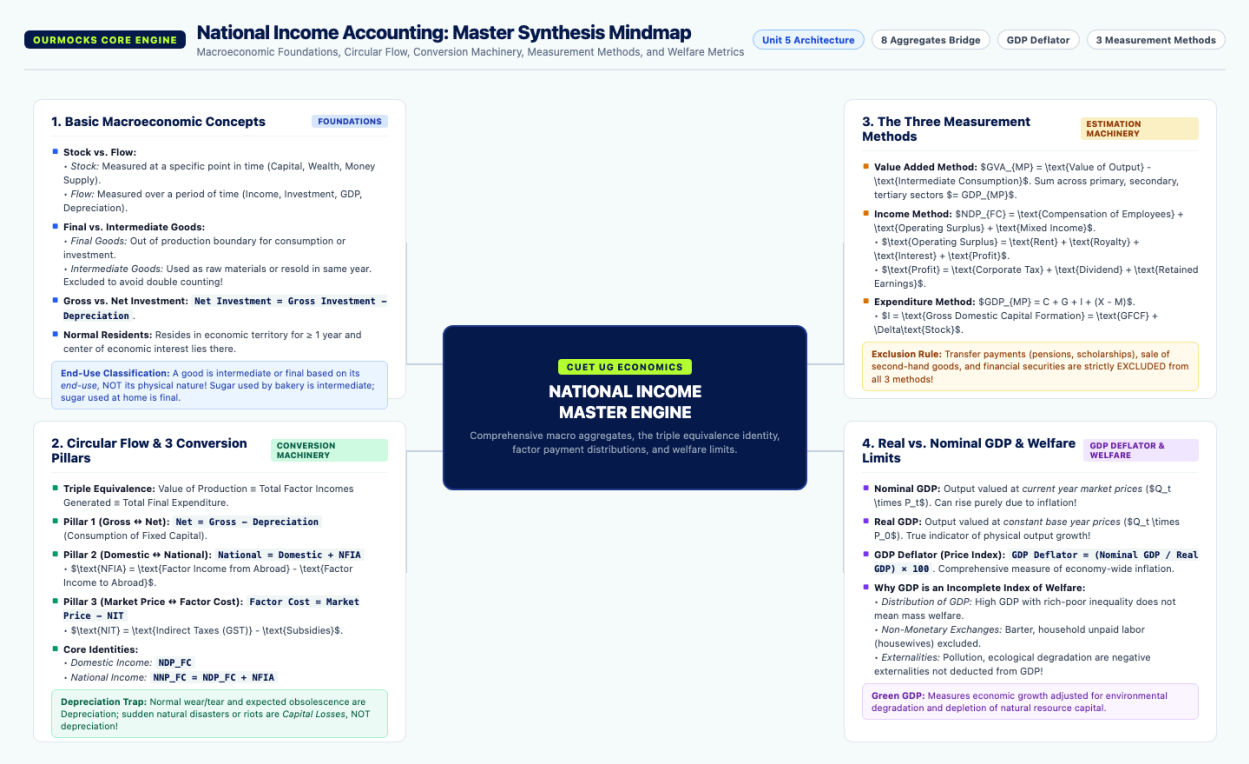


Figure 3: Figure 3: National Income Accounting Master Synthesis: Core Foundations, The 3 Pillars, Measurement Framework, and Welfare Indicators

—

7. Master Formula Cheatsheet & Diagnostic Traps

MASTER FORMULA CHEATSHEET — NATIONAL INCOME ACCOUNTING

The 3 Core Conversion Identities:

- Net = Gross - Depreciation (Consumption of Fixed Capital).
- National = Domestic + NFIA (where NFIA = FIFA − FITA).
- Factor Cost = Market Price - NIT (where NIT = Indirect Taxes − Subsidies).

The 8 Macro Aggregates:

- Domestic Income: NDP_{FC}.
- National Income: $NNP_{FC} = NDP_{FC} + \text{NFIA}$.
- GDP at Factor Cost: $GDP_{FC} = GDP_{MP} - \text{NIT}$.

Value Added Method:

- $VO = \text{Sales} + \Delta\ \text{Stock}$ (where Sales = Domestic + Exports, Δ Stock = Closing − Opening).
- $GVA_{MP} = VO - IC$ (where IC = Domestic Purchases + Imports).
- $\sum GVA_{MP} = GDP_{MP}$.

Income Method:

- $NDP_{FC} = COE + OS + \text{Mixed Income}$.
- COE = Wages in Cash + Kind + Employer's Social Contribution.
- OS = Rent + Royalty + Interest + Profit.
- Profit = Corporate Tax + Dividend + Undistributed Profit.

Expenditure Method:

- $GDP_{MP} = C + G + I + (X - M)$.
- I = GDCF = Gross Fixed Capital Formation + Δ Stock.
- GDP Deflator = $\left(\frac{\text{Nominal GDP}}{\text{Real GDP}}\right) \times 100$.

THE SEVEN FATAL CUET EXAM TRAPS IN NATIONAL INCOME

1. **Domestic Income vs. National Income:** Confusing GDP_{MP} with National Income. **Domestic Income is strictly NDP_{FC}**, and **National Income is strictly NNP_{FC}**. Never use a Gross or Market Price aggregate as final National Income!
2. **GDCF vs. GFCF Inventory Addition Trap:** If the exam question provides **Gross Domestic Fixed Capital Formation (GFCF)**, you MUST add Change in Stock to get total investment. BUT if the question directly provides **Gross Domestic Capital Formation (GDCF)**, Change in Stock is ALREADY included—adding it again is an instant error!
3. **Employee vs. Employer Social Security Contribution:** Only **Employer's contribution** to social security is added to Compensation of Employees. **Employee's contribution** is paid out of their own wages in cash; adding it double counts!
4. **Negative NFIA Inversion:** If Factor Income to Abroad exceeds Factor Income from Abroad, $NFIA$ is **negative** ($NFIA < 0$). In this case, Domestic Income will be **greater** than National Income ($NDP_{FC} > NNP_{FC}$)!
5. **Negative NIT Trap:** If subsidies exceed indirect taxes, Net Indirect Taxes is **negative** ($NIT < 0$). Then $FC = MP - (-NIT) = MP + |NIT|$, making Factor Cost **greater** than Market Price!
6. **Old-Age Pension vs. Retirement Pension:** An **Old-Age Pension** is an unrequited transfer payment (EXCLUDED). A **Retirement Pension** is deferred compensation for past employment (INCLUDED in COE).
7. **Exports and Imports Double Addition:** If a question provides "Sales", do NOT add exports (exports are part of sales). If a question provides "Domestic Sales", you MUST add exports! Same rule applies to Intermediate Consumption vs. Domestic Purchases of Raw Materials.

—

Practice Questions — Part 1 (Q1 to Q5)

Q1. Which of the following is classified as a FLOW variable in macroeconomic analysis?

(A) (A) Capital stock of a country
(B) (B) Quantity of money in circulation
(C) (C) National Income generated during a fiscal year
(D) (D) Foreign exchange reserves on 31st March

Sol. Q1. A flow variable is measured over a specified period of time (e.g., per month, per year), whereas a stock variable is measured at a specific point in time. National Income is generated continuously over an accounting year, making it a flow variable. In contrast, Capital stock, Money supply, and Foreign exchange reserves are static stores measured at a specific calendar date, making them stock variables. **Answer: (C)**

Q2. A car purchased by a taxi operator is classified in national income accounting as a:

(A) (A) Single-use intermediate good
(B) (B) Final capital good
(C) (C) Final consumer durable good
(D) (D) Non-durable producer good

Sol. Q2. The classification of a good depends strictly on its end-use. A taxi operator purchases a car not for personal domestic consumption, but as a fixed production asset used repeatedly over many years to generate transport services. It does not get merged or used up in a single production run. Therefore, it is a Final Capital Good (Gross Fixed Capital Formation). **Answer: (B)**

Q3. Consumption of Fixed Capital (CFC) is another standard economic term for:

(A) (A) Net Indirect Taxes
(B) (B) Capital Loss due to natural earthquakes
(C) (C) Depreciation of fixed capital assets
(D) (D) Intermediate consumption of raw materials

Sol. Q3. Consumption of Fixed Capital (CFC) is the official national accounting term for Depreciation. It represents the loss in value of fixed assets arising from normal wear and tear, passage of time, and expected obsolescence. Unforeseen destruction (earthquakes, war) is classified separately as Capital Loss, not CFC. **Answer: (C)**

Q4. The fundamental relationship between Domestic Income and National Income is given by:

(A) (A) National Income = Domestic Income + Depreciation
(B) (B) National Income = Domestic Income + Net Factor Income from Abroad (NFIA)
(C) (C) National Income = Domestic Income - Net Indirect Taxes (NIT)
(D) (D) National Income = Domestic Income + Intermediate Consumption

Sol. Q4. Domestic income (NDP_{FC}) measures factor earnings generated strictly within the domestic economic territory. National income (NNP_{FC}) measures factor earnings of all normal residents worldwide. To convert Domestic Income into National Income, one must add Net Factor Income from Abroad: $NNP_{FC} = NDP_{FC} + NFIA$. **Answer: (B)**

Q5. If Factor Income received from abroad is ₹80 crore and Factor Income paid to abroad is ₹110 crore, then Net Factor Income from Abroad (NFIA) is:

(A) (A) ₹190 crore
(B) (B) ₹30 crore
(C) (C) -₹30 crore
(D) (D) ₹80 crore

Sol. Q5. By definition, $NFIA$ = Factor Income from Abroad (FIFA) − Factor Income to Abroad (FITA). Given $FIFA = 80$ and $FITA = 110$: $NFIA = 80 - 110 = -$₹30 crore. A negative NFIA indicates that factor payments to non-residents exceed factor receipts from abroad, making National Income smaller than Domestic Income. **Answer: (C)**

—

Practice Questions — Part 2 (Q6 to Q10)

Q6. Given: $GDP_{MP} = ₹5,000$ crore, Depreciation = ₹400 crore, Indirect Taxes = ₹600 crore, Subsidies = ₹100 crore. The value of Net Domestic Product at Factor Cost (NDP_{FC}) is:

(A) (A) ₹4,100 crore **(B)** (B) ₹4,500 crore
(C) (C) ₹3,900 crore **(D)** (D) ₹4,700 crore

Sol. Q6. To find Domestic Income (NDP_{FC}) from GDP_{MP}, apply the two conversion pillars: 1. Net = Gross - Depreciation: $NDP_{MP} = 5000 - 400 = ₹4,600$ crore. 2. Factor Cost = Market Price - Net Indirect Taxes (NIT). NIT = Indirect Taxes − Subsidies = $600 - 100 = ₹500$ crore. Therefore, $NDP_{FC} = 4600 - 500 = ₹4,100$ crore. **Answer: (A)**

Q7. A firm sells 200 units of a commodity at ₹10 per unit. Its opening stock was ₹300 and its closing stock is ₹500. If intermediate consumption is ₹800, the Gross Value Added at Market Price (GVA_{MP}) is:

(A) (A) ₹1,400 **(B)** (B) ₹1,200
(C) (C) ₹1,000 **(D)** (D) ₹2,000

Sol. Q7. Step 1: Total Sales $= 200 \times 10 = ₹2,000$. Step 2: Change in Stock = Closing Stock − Opening Stock = $500 - 300 = ₹200$. Step 3: Value of Output = Sales + Δ Stock = $2000 + 200 = ₹2,200$. Step 4: GVA_{MP} = Value of Output − Intermediate Consumption = $2200 - 800 = ₹1,400$. **Answer: (A)**

Q8. Which of the following items is strictly EXCLUDED while estimating National Income by the Income Method?

(A) (A) Employer's contribution to employee provident fund **(B)** (B) Imputed rent of self-occupied residential building
(C) (C) Unemployment allowances received from the government **(D)** (D) Dividend payments received by equity shareholders

Sol. Q8. Unemployment allowances are unrequited transfer payments funded by the state. The recipient provides zero productive goods or services in exchange. Therefore, transfer payments are strictly excluded from national income. By contrast, employer's PF contribution is factor compensation, imputed rent is factor income from capital, and dividends are part of operating surplus (profit). **Answer: (C)**

Q9. The problem of "Double Counting" in national income accounting arises when:

(A) (A) Imports are added to domestic production **(B)** (B) The value of intermediate goods is counted in addition to the value of final goods
(C) (C) Depreciation is subtracted twice from Gross Domestic Product **(D)** (D) Both factor payments and transfer payments are taxed

Sol. Q9. Double counting occurs when the value of a commodity is included more than once as it progresses through different processing stages (e.g., adding the value of raw cotton, then cotton yarn, then cloth, and then final garments). This artificially exaggerates true national output. It is solved either by counting only final output or by summing value added at each stage. **Answer: (B)**

Q10. Operating Surplus in the Income Method is composed of:

(A) (A) Wages and salaries in cash and kind **(B)** (B) Rent, Royalty, Interest, and Profits
(C) (C) Net Indirect Taxes and Subsidies **(D)** (D) Mixed income of self-employed professionals

Sol. Q10. Operating Surplus is defined as the total income earned from property and entrepreneurship. It consists of four distinct factor payments: Rent (for land), Royalty (for sub-soil/copyright assets), Interest (for loanable production funds), and Profit (dividends, corporate tax, undistributed profits). **Answer: (B)**

Practice Questions — Part 3 (Q11 to Q15)

Q11. In an economy: Private Final Consumption Expenditure = ₹1,200, Government Final Consumption Expenditure = ₹400, Gross Domestic Fixed Capital Formation = ₹300, Change in Stock = ₹50, Exports = ₹100, Imports = ₹150. Gross Domestic Product at Market Price (GDP_{MP}) is:

(A) (A) ₹1,900 **(B)** (B) ₹1,950
(C) (C) ₹1,850 **(D)** (D) ₹2,050

Sol. Q11. Using the Expenditure Method: $GDP_{MP} = C + G + I + (X - M)$. 1. $C = 1200$, $G = 400$. 2. Gross Investment (I / GDCF) = Gross Fixed Capital Formation + Δ Stock = $300 + 50 = ₹350$. 3. Net Exports = $X - M = 100 - 150 = -₹50$. Summing components: $GDP_{MP} = 1200 + 400 + 350 + (-50) = ₹1,900$. **Answer: (A)**

Q12. If Nominal GDP of an economy is ₹8,400 crore and the GDP Deflator is 140, the Real GDP is:

(A) (A) ₹11,760 crore **(B)** (B) ₹6,000 crore
(C) (C) ₹7,000 crore **(D)** (D) ₹5,800 crore

Sol. Q12. By the GDP Deflator formula: GDP Deflator = $\left(\frac{\text{Nominal GDP}}{\text{Real GDP}}\right) \times 100$. Rearranging to solve for Real GDP: Real GDP = $\left(\frac{\text{Nominal GDP}}{\text{GDP Deflator}}\right) \times 100 = \left(\frac{8400}{140}\right) \times 100 = 60 \times 100 = ₹6,000$ crore. Real output was ₹6,000 crore; the remaining ₹2,400 crore in nominal value was purely due to price inflation. **Answer: (B)**

Q13. Which of the following transactions will be INCLUDED in the estimation of National Income?

(A) (A) Money received by a son from his father as a pocket allowance **(B)** (B) Brokerage paid to an agent on the sale of a second-hand house
(C) (C) Financial purchase of equity shares of Reliance Industries **(D)** (D) Profit earned by an underground smuggling syndicate

Sol. Q13. Brokerage paid on second-hand goods represents payment for a fresh, productive intermediary service rendered by the broker in the current accounting year. Therefore, it generates factor income and is included. Pocket money is a transfer payment (A), share purchases are financial transfers (C), and smuggling is illegal income without records (D). **Answer: (B)**

Q14. Why is GDP an imperfect index of economic welfare when negative externalities exist?

(A) (A) Because negative externalities reduce the market prices of consumer goods **(B)** (B) Because GDP includes the value of output but fails to deduct the environmental pollution and health damage created
(C) (C) Because negative externalities convert flow variables into stock variables **(D)** (D) Because negative externalities inflate the GDP Deflator

Sol. Q14. Negative externalities (such as industrial toxic waste in rivers, air smog, and noise pollution) impose uncompensated health and environmental costs on citizens. Traditional GDP accounts for the monetary value of industrial goods produced, but does not deduct the welfare damage caused by pollution. As a result, GDP overstates genuine social welfare. **Answer: (B)**

Q15. If all producing firms in an economy are owned by foreign multi-nationals, but all workers are resident citizens, an increase in factory production will:

(A) (A) Increase Domestic Income more than National Income **(B)** (B) Increase National Income more than Domestic Income
(C) (C) Cause Domestic Income to equal National Income **(D)** (D) Cause National Income to turn negative

Sol. Q15. Production within the geographical borders directly generates Gross Domestic Product and Domestic Income (NDP_{FC}). However, because profits of foreign multinationals are repatriated abroad (Factor Income to Abroad, $FITA$), they are subtracted when calculating National Income ($NNP_{FC} = NDP_{FC} - FITA$). Consequently, Domestic Income expands substantially, but National Income increases only by the domestic wages retained by local workers. Hence, Domestic Income rises more than National Income. **Answer: (A)**